

Servotech Renewable Power System Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: SERVOTECH · formerly Servotech Power Systems Ltd · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: Servotech assembles and sells clean-energy hardware in India. Four things matter: **solar inverters** (the box that converts the direct-current electricity a solar panel makes into the alternating current a home or the grid can use), **solar panels and rooftop projects**, **EV chargers** (electric-vehicle charging units, both slow AC and fast DC types), and **BESS** — battery energy storage systems, big lithium battery packs that store electricity so it can be used when the sun isn't shining. It sells two ways: through a retail network of roughly 4,000 dealers and shops, and by winning government contracts — Indian Railways rooftop-solar tenders, state EV-charging tenders, and work for the state oil companies. It also owns odd side businesses: a medical-device arm being wound down, and an events-and-cricket company.

Measure	Value	What it means in plain words
Market cap	₹1,937 cr	What the whole company is worth on the stock market — a small-cap. The share is ₹85.8, against a 52-week range of ₹57.5 to ₹143.
FY26 revenue	₹637 cr	Total sales in the year to March 2026 — up only 8.4% on FY25's ₹587 cr, after FY25 had nearly doubled. Growth stalled for a full year.
FY26 net profit	₹36 cr	Profit after all costs and tax, up 8% on ₹33 cr. Six rupees of profit per hundred rupees of sales.
FY26 operating margin	11%	Eleven paise of operating profit per rupee of sales — the best in its listed life, up from 10% in FY25 and 7% in FY24.
Q1 FY27 revenue	₹208 cr	The June 2026 quarter, up 66% on the ₹123 cr of a year earlier — the headline that drives this report.
Price / earnings	48.7	You pay about ₹49 for each ₹1 of annual profit. Expensive for a hardware assembler earning 11% margins.
Borrowings (Mar 26)	₹198 cr	Money owed to lenders — up from ₹75 cr a year earlier , roughly 2.6 times, against a net worth of about ₹268 cr.
Operating cash flow	–₹11 cr	Cash actually generated by running the business in FY26. Negative — and negative for four straight years (FY23 –₹27 cr, FY24 –₹1 cr, FY25 –₹51 cr).
Free cash flow (FY26)	–₹75 cr	Cash left after paying for new plant and machinery. Deeply negative. The reported ₹36 cr of profit did not turn into cash.
Debtor days	120 days	How long customers take to pay. Four months — up from 87 days a year ago. Government contracts pay slowly.
Foreign holding	0.05%	Overseas institutions have almost entirely left: 8.86% in Sep 2023 → 0.05% in Jun 2026 . Promoters hold 58.6%, down from 61.4%.

2 Concall coverage

Quarter	Call date	Transcript read?
Q1 FY24	Jul 2023	Yes
Q2 FY24	Nov 2023	Yes
Q3 FY24	Feb 2024	Yes (Screener lists this call twice; the two files are identical)
Q4 FY24	May 2024	Yes
Q1 FY25	Aug 2024	Yes

Q2 FY25	Nov 2024	Yes
Q3 FY25	Jan 2025	Yes
Q4 FY25	May 2025	Yes
Q1 FY26	Aug 2025	Yes
Q2 FY26	10 Nov 2025	Yes
Q3 FY26	Feb 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	22 Jul 2026	Yes — latest call ★ (read in full)

Screener listed 14 concall entries and all 14 downloaded; two are the same February 2024 file, so **13 unique transcripts covering three full years**, Q1 FY24 through Q1 FY27, with no gaps. Note one thing about who asks the questions: across all 13 calls, almost every questioner is introduced as "an individual investor." No broking house or mutual fund analyst appears on the latest call at all, and the Q1 FY27 call ran just **30 minutes**. This is a company that professional investors have stopped covering.

★ Latest concall highlights — Q1 FY27 (call held 22 July 2026)

- **A genuinely big quarter.** Standalone revenue ₹208.1 cr against ₹125.1 cr a year ago, up 66%. Operating profit ₹23.2 cr, net profit ₹11.1 cr. On a consolidated basis (the group including subsidiaries) revenue was ₹216.3 cr, up 58%, and profit ₹7.95 cr, up 75%. **Crucially, this is the third quarter in a row at roughly ₹205 cr — the step-up that began in Q3 FY26 has held.**
- **The wins announced:** a large rooftop-solar order from South Central Railway; a memorandum of understanding with the Haryana state government for a new manufacturing plant; a 900-kilowatt battery-storage order from Uttar Pradesh; and a BEE 5-star energy rating (the government efficiency label) for the 60 kW and 120 kW chargers.
- **Battery storage is the new growth story — with very big numbers attached.** Asked about capacity, the Managing Director said BESS output would **double within six months, triple by 21 March 2027, and go up ten times within two years.** He stressed the ten-fold figure is production capacity, not capital spending.
- **The original story — EV charging — was quietly written off.** Asked directly about growth in AC and DC chargers, the MD answered: *"There is not much growth in that right now. Because the market is a little bit stagnant."* This is the business the company was sold on in 2023.
- **Management refused to disclose almost anything.** No revenue guidance, no margin guidance ("margin is not very important for us"), no order-book number ("you do not have such a sound order book on a paper"), no product mix ("this is a financial call... see it on the website"), and no capacity figures — *"giving the idea in the public domain is very dangerous."* He also said debt "can increase" this year, three months after promising no fresh long-term debt.

Business mix & capacity. Domestic vs export: not disclosed, and effectively all domestic. Servotech has never given an export percentage in any of the 13 calls. What exists overseas is a distributor appointment in Mauritius, a new Dubai subsidiary, and a handful of sample containers shipped in FY24 — nothing sized. Treat this as an India-only business. **Product mix: disclosed inconsistently and not at all in the latest call.** In February 2026 management said EV chargers were *"lower than 10%"* of revenue with the majority from solar; three months later, in May 2026, the same MD said chargers were *"approximately 43%"* and solar 51%. Those two statements cannot both be right, and no reconciliation was offered. The one mix number that is consistent and checkable is the **retail channel, now running at about ₹25 cr a month** (roughly ₹300 cr a year, or just under half of FY26 sales) against ₹2 cr a month in FY22 — management targets it crossing 50% of revenue in FY27. **Capacity utilisation: about 50%.** In July 2026 the MD said *"we are utilising only 50% of the current production capacity"* and then declined to say what that capacity is. The trend is going the wrong way — it was ~60% in November 2024. Stated nameplate, last given in 2024: about 12,000 DC fast chargers and 30,000 AC chargers a year; solar inverters at 12,000–15,000 units a month against a stated target of 25,000; solar modules at 5–10 megawatts a month. Battery storage is the exception: management says that line is **full and cannot meet demand**, which is what the expansion plan is for.

★ 3. Earning-trigger thesis

There is a real trigger here, and it is not the one the company was originally sold on. It is **solar**, sold two ways: a retail dealer network built from nothing (₹2 cr a month to ₹25 cr a month in four years), and government solar work — railway rooftops, state tenders, PM Surya Ghar (the central rooftop-solar subsidy scheme). That combination, plus ₹64 cr of new plant commissioned during FY26, took quarterly revenue from ₹102 cr in September 2025 to ₹202 cr, ₹210 cr and ₹208 cr in the three quarters since. That is a doubling of the run-rate that has now persisted for nine months, at a stable 10–11% margin. Battery storage may become a second engine. **The problem is not that the trigger is fake — it is that it does not produce cash.** To grow revenue by ₹50 cr in FY26 the company added ₹123 cr of debt, ₹88 cr of receivables, and burned ₹75 cr of free cash. Growth bought with borrowed money on 120-day payment terms is real growth, but it is fragile growth.

Trigger	What management said	Evidence so far	Horizon	Strength
Retail solar channel	Dealer network scaled from ₹2 cr/month (FY22) to ₹25 cr/month; targeting >50% of FY27 revenue; working capital under 30 days in this channel.	The single best-evidenced claim in three years of calls. The run-rate is quoted consistently and matches the revenue step-up. ~4,000 retailers signed.	Ongoing	Strong Verifiable, repeated, and visibly in the numbers.
Government solar EPC	Railway rooftop orders, state tenders, oil-company sites; "a meaningful portion of revenue" with a strong pipeline.	Real orders won and executed — but it is why receivables jumped to ₹243 cr, with ~₹40 cr stuck at IOCL/BPCL/HPCL and ~₹60 cr in unfinished railway work.	Ongoing	Moderate Grows revenue, destroys cash. Five-year retention money is built into the model.
Battery storage (BESS)	Capacity is full, demand unmet; will double in 6 months, triple by Mar 2027, 10x in two years. New Haryana plant under MOU.	Orders exist but are tiny and few — a 900 kW order from UP was the only one named. No segment revenue, no capacity figure, no capex number has ever been given.	2–3 yrs	Moderate Credible end-market, entirely unquantified company-side.
EV charging	2023 pitch: 65% of revenue, capacity ramp toward 600,000 chargers a year. July 2026: "not much growth... the market is a little bit stagnant."	Charger capacity stalled at ~12,000 DC units a year. Government scheme repeatedly changed. Management has stopped promoting it.	—	Broken The founding thesis. Abandoned in all but name.
Solar cell / module backward integration	May 2025: initial capacity 150–200 megawatts, rising to 1 gigawatt; "our target is to disclose it in May."	Fourteen months later, nothing announced. Not mentioned again on any subsequent call.	Unclear	Unproven Announced, then silently dropped.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q1 FY24 (Jul 2023)	FY24 revenue growth of "90–110%" — a target of ₹500–600 cr, with about 65% coming from EV chargers.	FY24 revenue was ₹305 cr , up 22%. Roughly half the promised number, and chargers never got near 65%.	Missed
Q2 FY24 (Nov 2023)	Ramp EV-charger capacity toward 600,000 units a year (from ~25,000), with DC to 25,000 and AC to 100,000.	By May 2024 stated capacity was still ~12,000 DC and ~30,000 AC per year. The 600,000 figure was never mentioned again after FY24.	Dropped
Q4 FY24 (May 2024)	Order book ₹450–500 cr; supply ~12,000 DC chargers in FY25;		Partly

	"target is to fully utilize this capacity within a year."	FY25 revenue did nearly double, to ₹587 cr — the one year the growth promise landed. But utilisation was still ~60% at the end of FY25.	
Q3 FY25 (Jan 2025)	"In total, we are expecting to double our business compared to last year"; 300 distributors and 6,000 retailers.	FY26 revenue grew 8.4% , not 100%. Retailer count reached ~4,000, short of 6,000.	Missed
Q4 FY25 (May 2025)	Solar PV backward integration: 150–200 MW initially, scaling to 1 GW; disclosure promised "in May".	No plant, no announcement, no further mention in the four calls since.	Dropped
Q2 FY26 (Nov 2025)	After a bad quarter (₹102 cr): infrastructure already in place "to multiply last year's revenue by four times without needing significant additional investment."	Eight months later the MD said utilisation is only 50% <i>and</i> that "we are not able to make as much material as there are orders" and must expand capacity. Both cannot be true.	Contradicted
Q3 FY26 (Feb 2026)	Inverter output to rise from ~10,000 to 25,000 units a month "in the next 3 months" ; lithium battery dispatch from March.	Neither was confirmed, quantified or revisited on the two calls since.	Unverified
Q4 FY26 (May 2026)	The clearest commitment ever made: FY27 is "a year of operational consolidation" — no fresh long-term debt , capex "moderates significantly," restore positive operating cash flow , cut gearing below 0.5x , normalise receivables, "we are not entering into a new business ," and 100% asset utilisation from Q2.	Reversed within three months. On the July 2026 call: "the debt can increase"; a new plant announced under a Haryana MOU; BESS capacity to grow 10x; and utilisation described as "only 50%" in the very quarter it was supposed to be heading to 100%.	Missed
Q1 FY27 (Jul 2026)	BESS capacity 2x in six months, 3x by 21 Mar 2027, 10x in two years.	Announced this quarter. Nothing to judge yet — but note it is the fourth capacity-multiplication promise in three years.	Too-early

Narrative drift. This is the heart of the report, and the drift is severe. In 2023 Servotech was an **EV-charging** company — 65% of the pitch, a 600,000-unit capacity ambition, and a name to match: Servotech Power Systems. By 2026 it is Servotech Renewable Power System, chargers are "stagnant," and the story is **solar**. Now, in the latest call, solar is already being displaced by **battery storage** with a ten-fold expansion promise attached. Each pivot arrived with big multiples and each earlier one quietly stopped being mentioned. Meanwhile the disclosure has gone backwards, not forwards: the company gave an order-book number in 2024 (₹450–500 cr, then ₹600 cr) and now says an order book on paper is not meaningful; it gave capacity numbers in 2024 and now calls disclosing them "very dangerous"; it gave a revenue-mix split in May 2026 that flatly contradicts the one it gave in February 2026. And it has drifted in capital allocation too — a listed renewable-energy company owning a loss-making events business, a cricket franchise (Siliguri Strikers), the "Dream League of India," and a content studio, justified on the call as brand-building for the dealer channel, three months after the MD said they were not entering any new business. To be fair to him, the MD is disarmingly honest about the status of his own targets. Asked in August 2025 whether the aggressive numbers he gives in podcasts and media would be met, he said: *"I have not committed anywhere that we'd make it. I have also not guaranteed that I will do it... Sometimes you need to learn to lose as well."* That is candid. It is also, read plainly, an admission that his public targets should not be relied on.

Durable earning trigger? → MAYBE

Something real happened in this business, and it deserves credit. Quarterly revenue went from ₹102 cr in September 2025 to ₹202 cr, ₹210 cr and ₹208 cr in the three quarters since — a doubling of the run-rate that has now held for nine months, at a steady 10–11% operating margin, on the back of ₹64 cr of plant commissioned in FY26 and a retail dealer channel genuinely built from ₹2 cr a month to ₹25 cr a month. Management's own seasonality comment ("H2 is always better than H1") means a ₹208 cr June quarter points to a materially bigger year. India's rooftop-solar and grid-storage demand is real, not invented.

What stops this from being a YES is cash. Operating cash flow has been negative for four consecutive years, FY26 free cash flow was –₹75 cr, borrowings tripled from ₹75 cr to ₹198 cr in twelve months, and customers now take 120 days to pay because a growing share of revenue is government contract work with milestone billing and five-year retention money. Profit that never becomes cash is not yet proof of a durable engine. Add that the stock trades at 49 times earnings for an 11%-margin assembly business, that capacity utilisation is only 50%, and that the segment now being promoted hardest (battery storage) has never had a single revenue or capacity number attached to it. The trigger is real. Its durability is not yet demonstrated.

Management consistent? → NO

Three years of transcripts show a consistent pattern of large promises that are missed and then never mentioned again. FY24 was to grow 90–110%; it grew 22%. FY26 was to "double"; it grew 8.4%. Charger capacity was to reach 600,000 units a year; it stalled near 12,000. A 1-gigawatt solar-cell plant was promised for disclosure in May 2025 and has not been referred to since. The most damaging item is the most recent: in May 2026 management laid out an unusually specific FY27 plan — no fresh long-term debt, capex moderating, positive operating cash flow restored, gearing below 0.5x, no new businesses — and by the July 2026 call, three months later, debt "can increase," a new plant is being built under a state MOU, and battery capacity is going up ten-fold. Disclosure quality has actively deteriorated: order-book and capacity figures that were freely given in 2024 are now withheld as "dangerous," and the revenue mix stated in May 2026 (43% chargers) directly contradicts the one stated in February 2026 (under 10% chargers) with no explanation. The capital allocation has drifted into a cricket franchise and an events company. And professional investors have voted with their feet — foreign institutional holding has gone from 8.86% to 0.05%, and the latest earnings call was a 30-minute session in which not one institutional analyst asked a question. The MD is personally candid, works hard, and has grown the business from ₹249 cr to ₹637 cr in three years. But candour about not meaning your targets is not the same as consistency, and on the evidence of these transcripts, what management says will happen is a poor guide to what does.

Sources: Thirteen unique Servotech Renewable Power System Ltd earnings-call transcripts filed with NSE, Q1 FY24 (Jul 2023) through Q1 FY27 (call held 22 Jul 2026, filed 28 Jul 2026), sourced from Screener.in; Screener.in standalone and consolidated financial history (profit & loss, balance sheet, cash flow, ratios, quarterly results, shareholding pattern).

A note on the numbers: Screener's tables are *standalone* (the parent company only) — FY26 revenue ₹637 cr, Q1 FY27 revenue ₹208 cr. Management quotes both bases on the calls; the *consolidated* group figures (including subsidiaries such as Rebreathe Medical Device, Servotech EV Infra and Servotech Sports & Entertainment) were ₹674 cr for FY26 and ₹216 cr for Q1 FY27. Consolidated revenue was flat in FY26 mainly because the medical-device subsidiary was deliberately shrunk from ₹98 cr to ₹32 cr. Both bases are used here and labelled where it matters.